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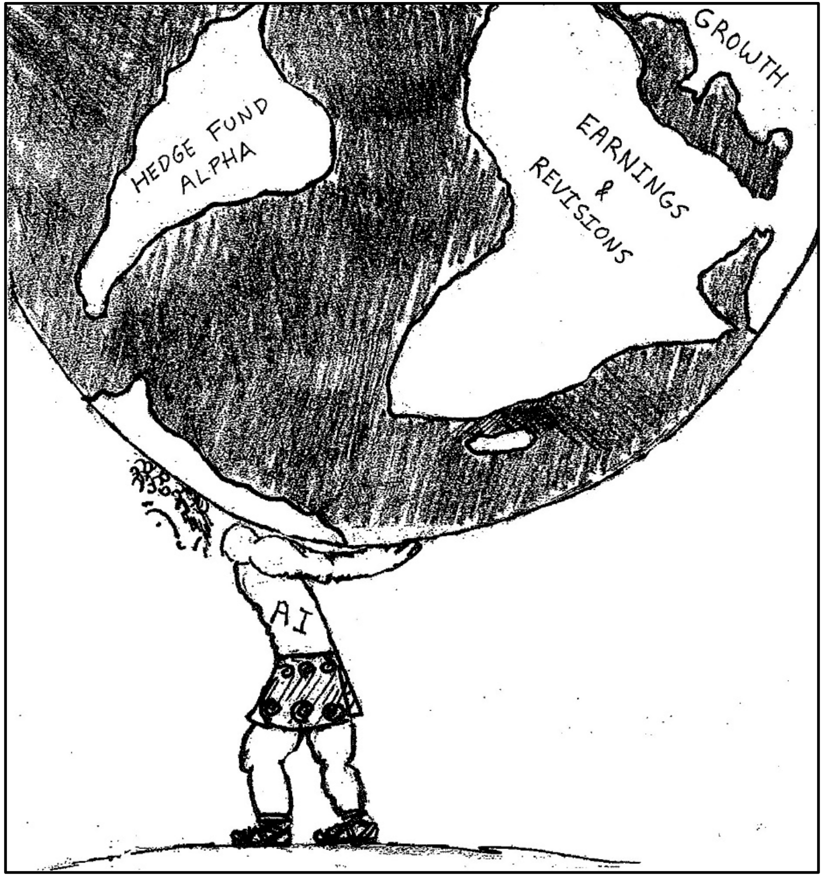
Global Fixed Income Outlook: August 2026

Andrew Sheets, Global Head of Fixed Income Research

Morgan Stanley & Co. International plc+

All data as of August 4, 2026 unless otherwise indicated.


HEDGE FUND ALPHA
GROWTH
EARNINGS & REVISIONS
AI

Strategy Overview: Climbing the Wall of Worry

- We firmly believe the AI-capex narrative remains intact, but stretched valuations, a deluge of debt issuance raising capex discipline questions, and heavy consensus positioning have added to market jitters. We think these are risks to volatility, not returns – the broadening rally can continue.

- For fixed income, risks around growth have diminished. That puts inflation in focus. We think inflation comes in lower than expected across the US, Euro Area, UK and Japan over the next 12 months, with core inflation close to target by YE27. If correct, this should warrant less-hawkish policy than markets price.

- We think that steepens rate curves and keeps the DXY range-bound/lower. In FX, we like AUD and SEK given stronger growth and CHF for reliable diversification.

- 1997-1998 and 2005-2006 remain good proxies for the Equity/Credit backdrop, in our view, and justify moderately wider spreads even as equities keep climbing over the next 12 months. Supply will remain on a record pace.

- We see value in Securitized Credit, EM FX, and EM HY Credit.

Our Key Global Forecasts

Since January 1: Higher US growth, lower EU growth, higher inflation, higher policy rates

Solid Growth, Inflation in Focus

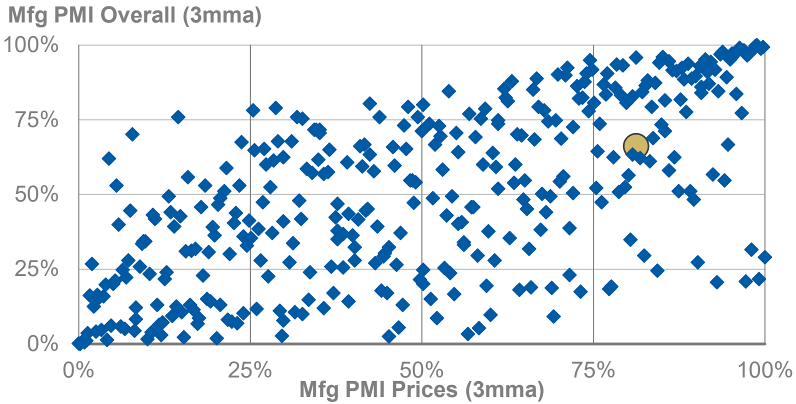
Region	GDP YoY		Core Inflation		YE CB Rate	
	2026	2027	2026	2027	2026	2027
US	2.2	2.6	3.1	2.4	3.625	3.125
Euro Area	0.8	1.2	2.6	2.2	2.500	2.000
UK	1.0	1.7	2.7	2.2	3.750	3.500
Japan	0.5	1.3	2.5	1.9	1.250	1.500
China	4.7	4.5	0.9	0.9	1.400	1.400

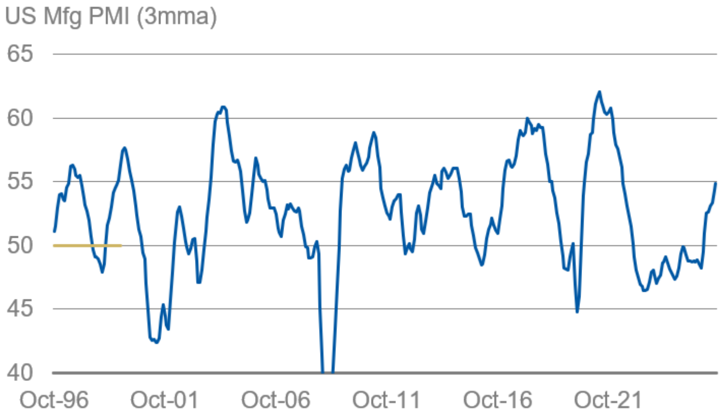
Source: Morgan Stanley Research forecasts. As of July 31st, 2026

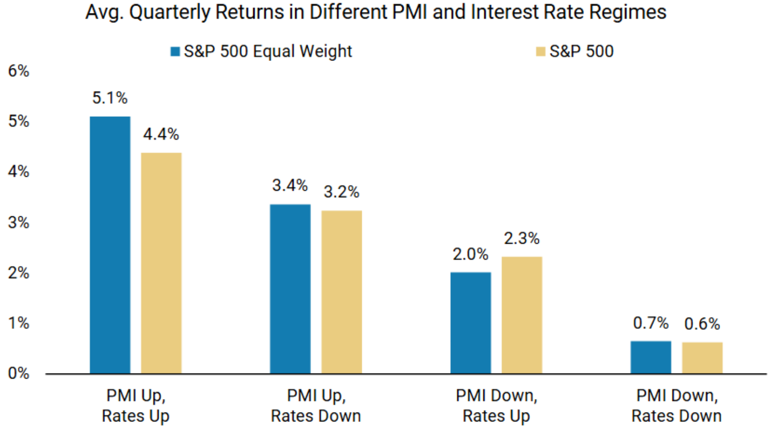
Signs of Cyclical Strength

Strong PMIs, Strong Credit Growth

- Mfg. PMIs >50 and rising in US, Euro Area, and Asia ex-China.
- Credit growth accelerating across these same regions.



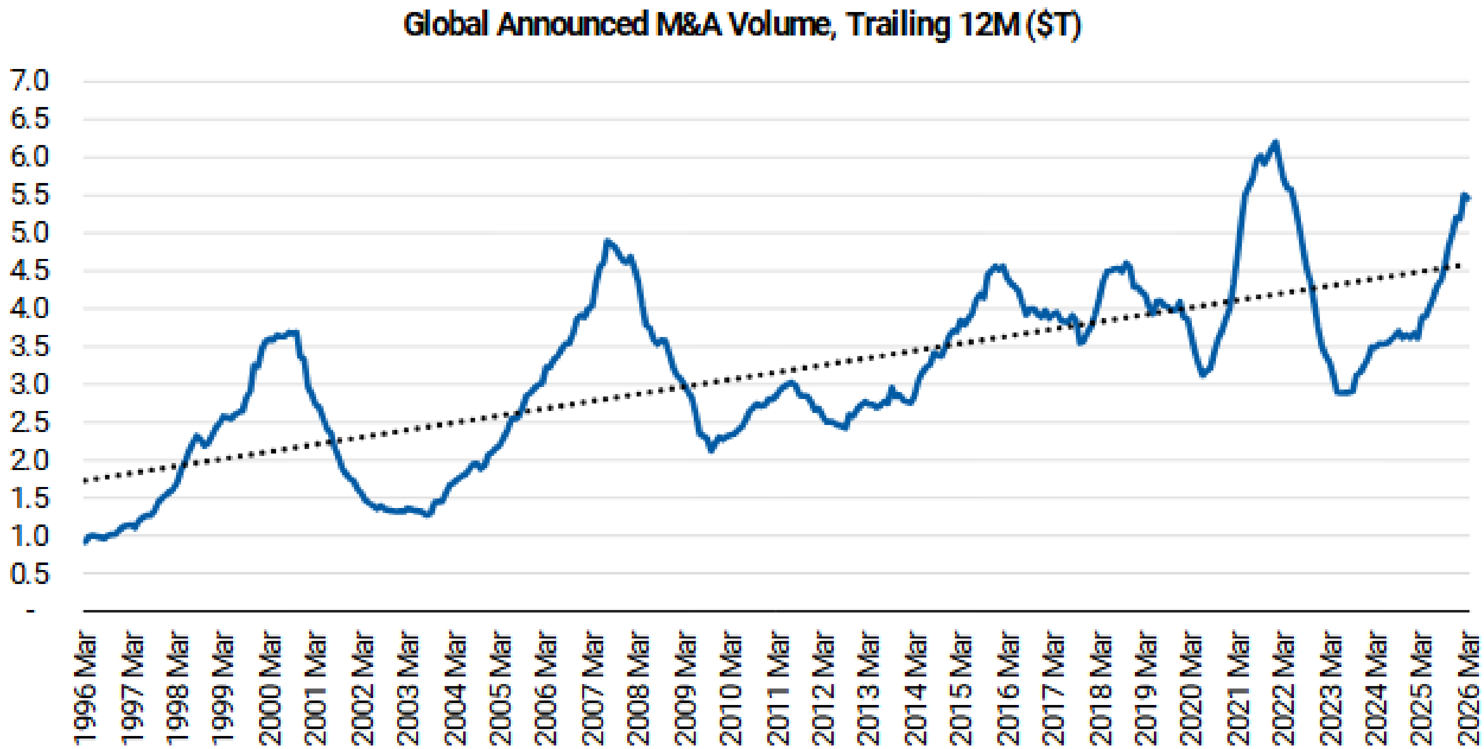




Source: Bloomberg, Morgan Stanley Research

Animal Spirts Part 1: M&A

Volumes recovering in a material way

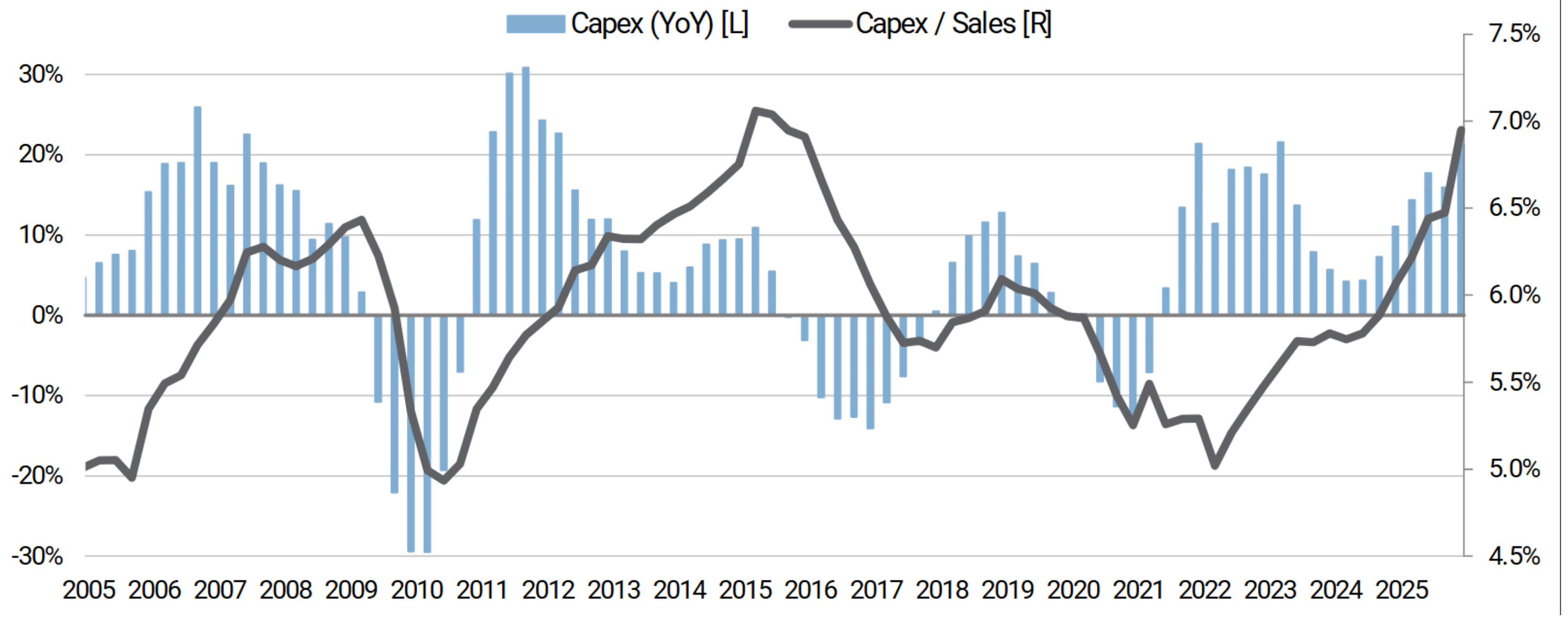


Source: Dealogic, Morgan Stanley Research estimates

Animal Spirits Part 2: Capex

YoY S&P 500 Capex Growth: Mag7: ~80%, Rest: ~12%

US Capex (YoY) and Capex/Sales



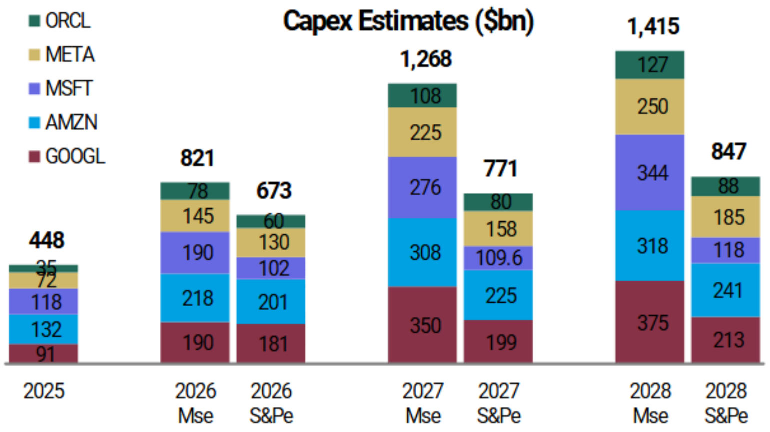
Source: FactSet and Morgan Stanley Research

Growth: AI Capex Drives US Outperformance

Big spending that keeps getting revised higher

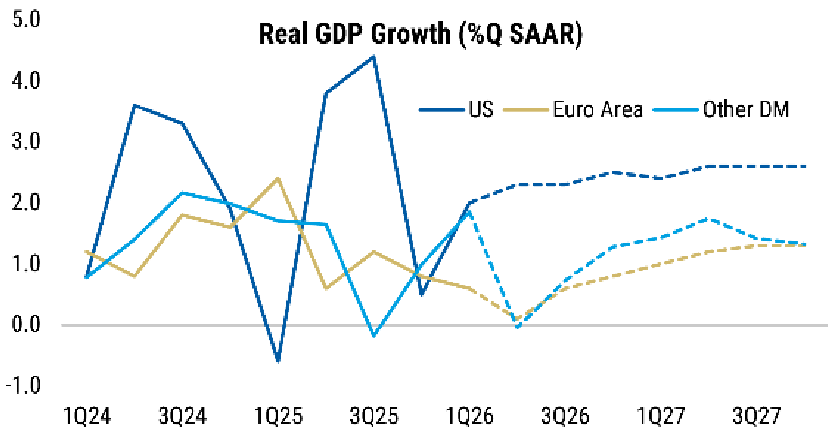
- Accelerating AI capex underpins a good macro backdrop, partly offsetting consumption headwinds
- Inflation bumpy near term, but normalizes by year-end, opening the path to rate cuts in 1H27.

Hyperscaler capex to exceed $1.2tn in 2027…



Source: Company data, Morgan Stanley Research Estimates, S&P

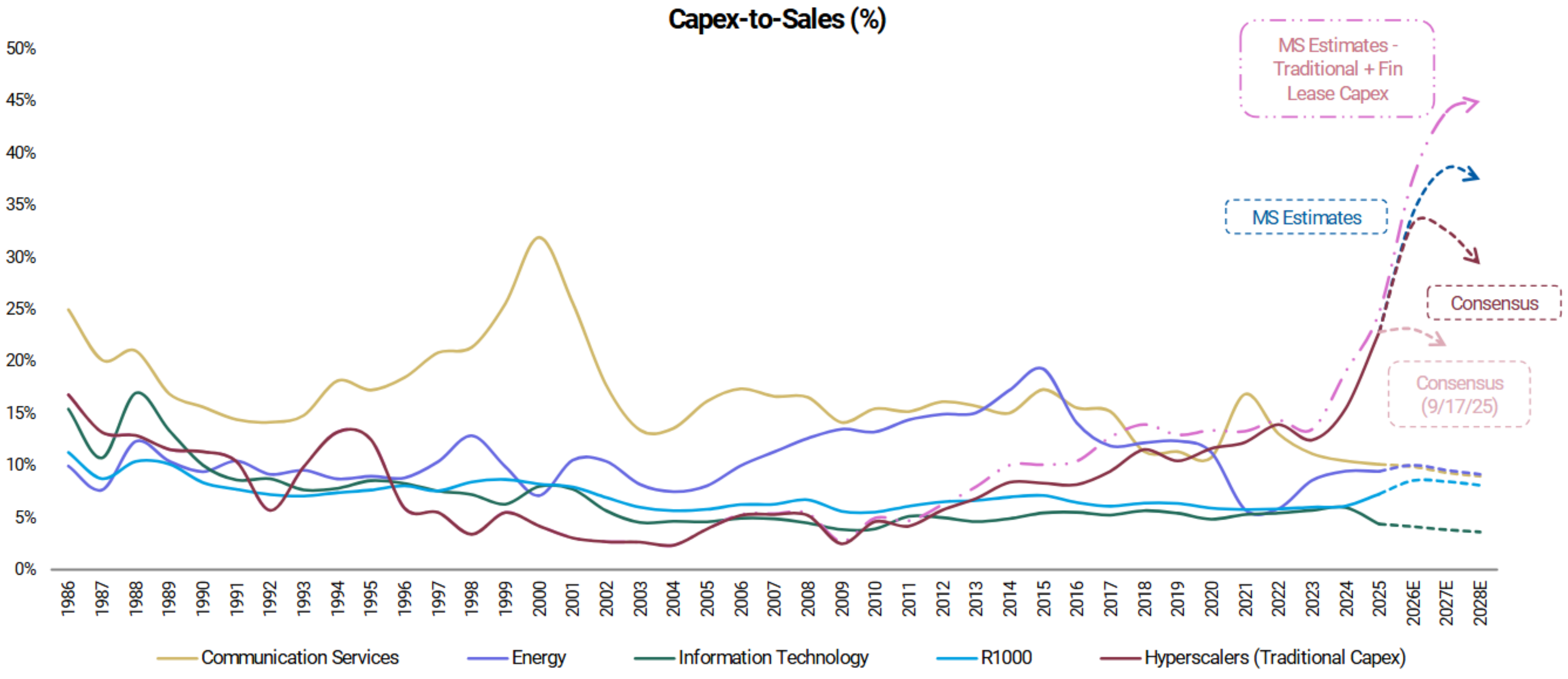
… underpinning a robust macro backdrop in the US



Source: FactSet, Morgan Stanley Research

Adjusting this Spend for Sales

Larger than the TMT in the 1990s



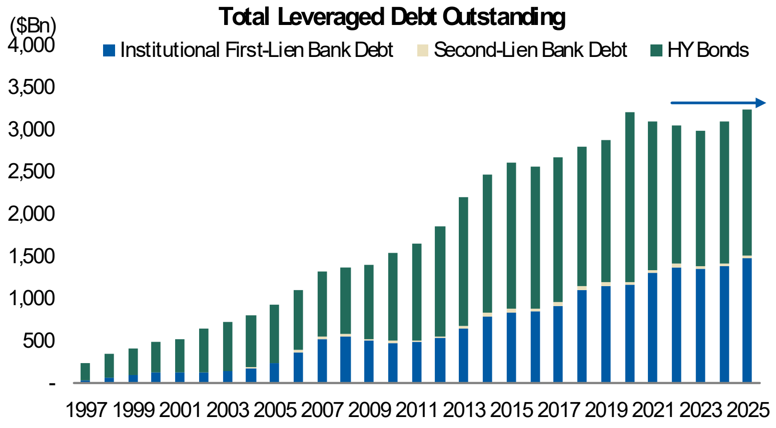
Source: Company data, Morgan Stanley Research estimates, FactSet

Funding AI: There Is Debt 'Capacity'

- Corporate debt has not been a major driver of post-Covid growth. **Companies have maintained remarkably strong balance sheet discipline.**

- Strong earnings growth (for the mean and median issuer) further improves debt capacity.

The sub-IG portion of the public credit market has not grown since 2021



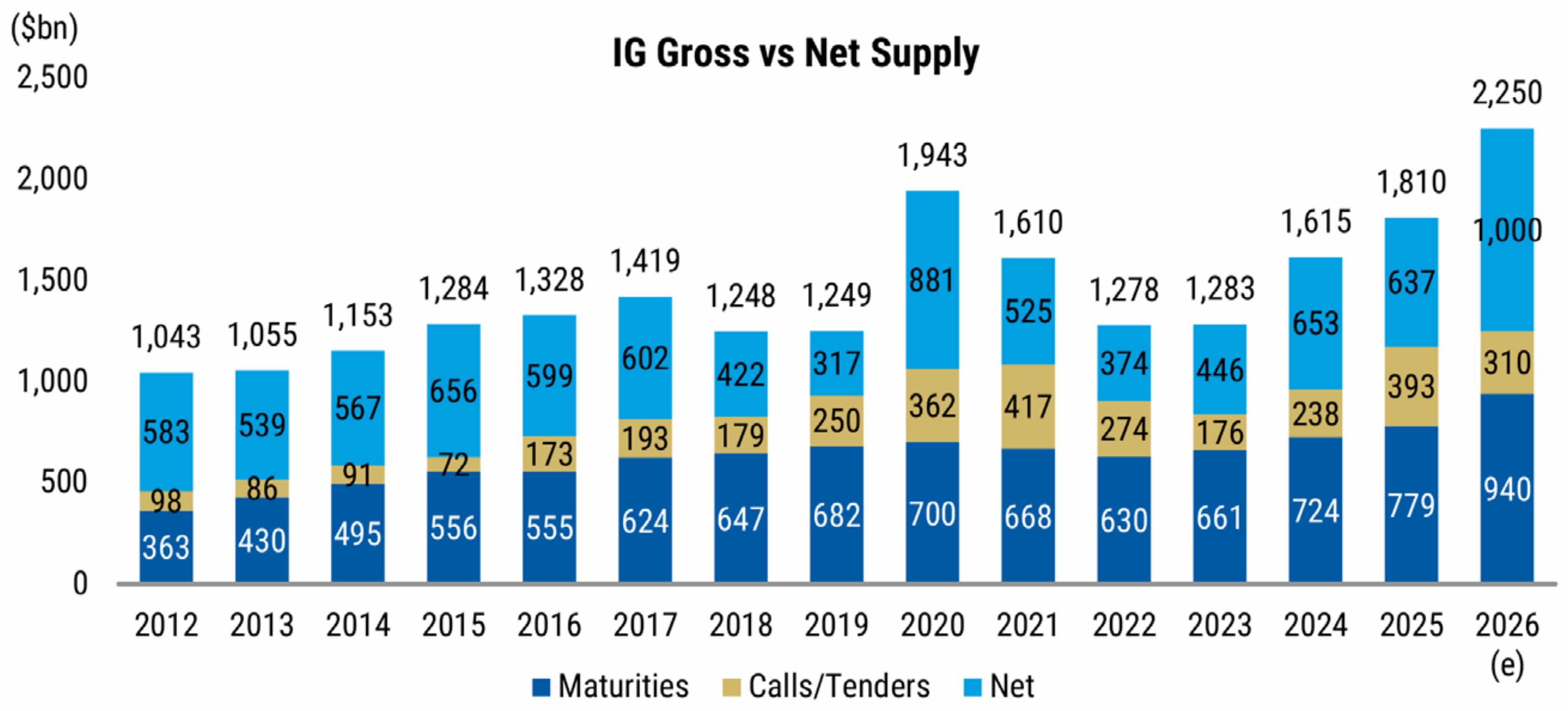
Source: PitchBook | LCD, Morgan Stanley Research

Corporate debt relative to GDP declining consistently since 2020

Source: Federal Reserve, Morgan Stanley Research

Financing Markets Are Open

Issuance volumes are strong, credit spreads remain tight



Source: Bloomberg, Dealogic, Pitchbook | LCD, Federal Reserve, Morgan Stanley Research forecasts.

Smells Like Animal Spirits

More M&A + More capex = More supply

Capex, M&A, macro variables for 2026 similar to 1997-1998, 2005-2006

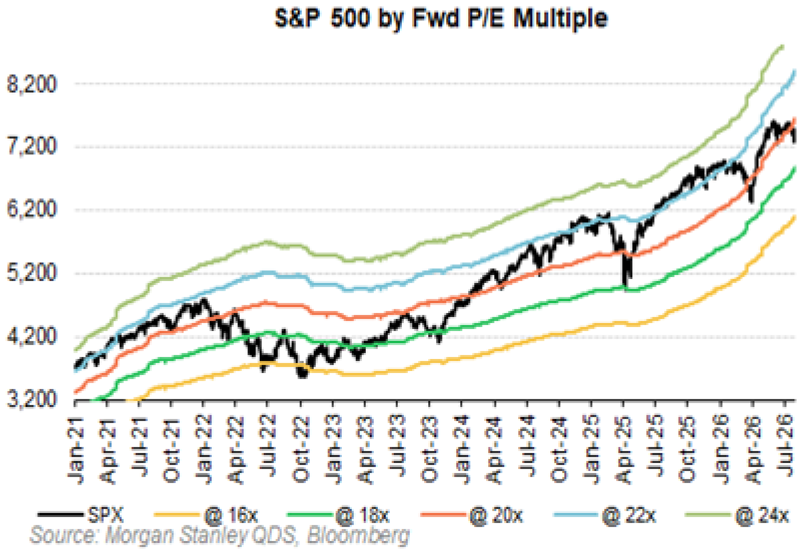
Year	Capex YoY	Capex Ex-En. YoY	M&A YoY	M&A (% of GDP)	S&P 500 YoY	US IG YoY (bp)	US 10yr (YE)	Core PCE (YE)	US U-3 Unemply.
1997	7%	5%	36%	17%	31%	9	5.7	1.9	4.9
1998	9%	10%	53%	25%	27%	51	4.6	1.5	4.5
2005	14%	9%	38%	22%	3%	9	4.1	2.3	5.1
2006	20%	17%	34%	28%	14%	-2	4.7	2.3	4.5
Avg.	12%	10%	41%	23%	19%	17	4.8	2.0	4.8
2026e	31%	34%	23%	20%	17%	6	4.3	2.9	4.3
Diff	19%	24%	-17%	-3%	-2%	-11	-0.5	0.9	-0.5

Source: Morgan Stanley Research estimates, Bloomberg, Dealogic. Capex for the R1000 universe and include MSe for hyperscaler spend. M&A includes strategic/sponsor deals only, excludes rejected/cancelled deals. Assumes one-half of spread change forecasted between today and 2Q27 occurs by year-end.

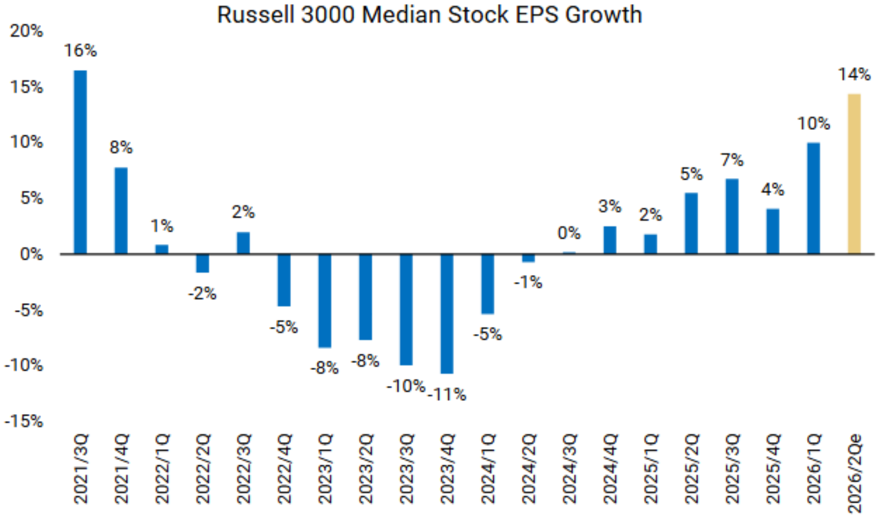
The Risks? Equity Valuations Are High, but Not Extreme

For Credit, recall the US Cash tights were in 1997, 2005…

Forward P/E is pretty close to the 5yr Average



Earnings growth is strong, broad-based



The Risks? Inflation Still Above Target

Atlanta Fed inflation 'dashboard'

MEASURE OF UNDERLYING INFLATION	12-MONTH GROWTH RATE		TARGET BASED ON 2% CORE PCE
	JUN-25	JUN-26	
Core CPI	2.9	2.6	2.3
FRB Cleveland Median CPI	3.6	2.7	2.6
FRB Cleveland 16% Trimmed-Mean CPI	3.2	2.6	2.3
Atlanta Fed Sticky CPI	3.3	2.8	2.5
Core PCE	2.8	3.3	2.0
Market-Based Core PCE	2.6	3.0	1.8
FRB Dallas Trimmed-Mean PCE	2.7	2.2	2.1
FRB San Francisco Cyclical Core PCE Inflation	3.6	3.2	2.6
Cyclically Sensitive Inflation (Stock and Watson (2019))	3.3	3.2	1.9

- Measure is more than 0.50 ppt **above** target
- Measure is between 0.25 and 0.50 ppt **above** target
- Measure is within target range (-/+0.25 from target)
- Measure is between 0.25 and 0.50 ppt **below** target
- Measure is more than 0.50 ppt **below** target

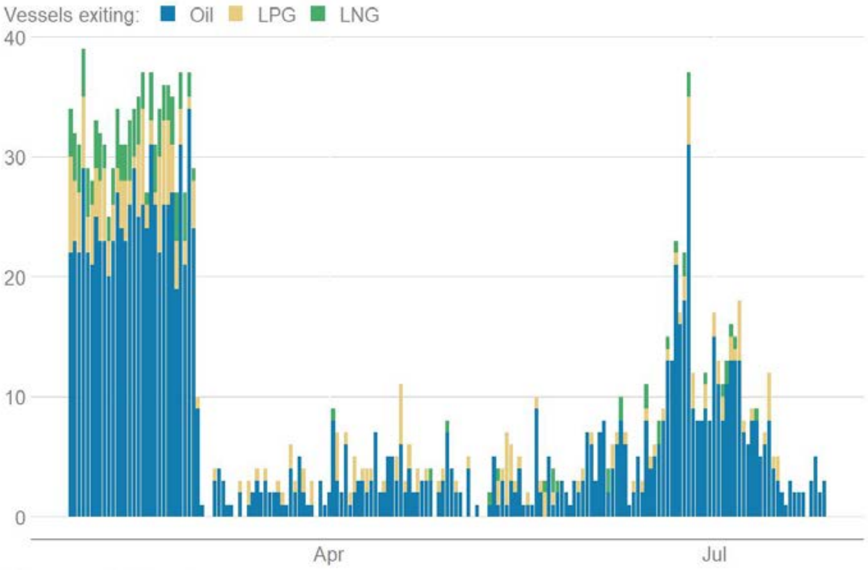
Source: Federal Reserve Bank of Atlanta (see Underlying Inflation Dashboard - Federal Reserve Bank of Atlanta)

Middle East Conflict: Disruptions Remain Significant, Unsustainable

At present, largest disruption of energy supply in history

Strait of Hormuz

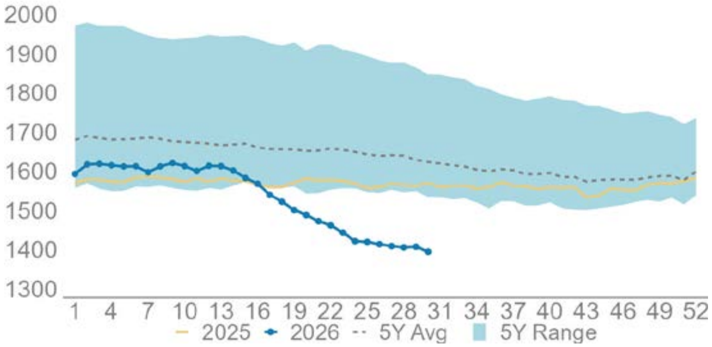
Daily number of transits, out of the Middle East Gulf (count)



Note: Last updated 29 July
Source: Vortexa, Morgan Stanley Research

Inventory draws are significant

Total Oil Inventories (mln bbls)



Source: Morgan Stanley Research

Risk Shift: From “What if it Fails” to “What if it Works”

Industry disruption in focus

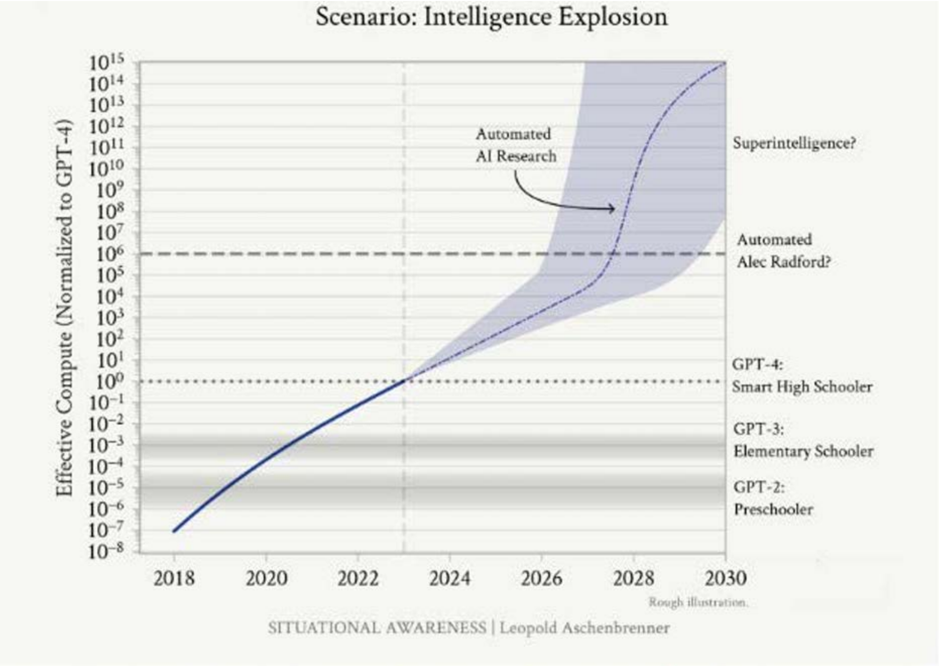
Agentic AI complexity (and compute demand) is doubling every seven months.

This can lead to much greater demand for compute, power, equipment, and capital.

Credit investors are very focused on the risk that AI disappoints, leaving excess capacity.

Scenarios where AI exceeds expectations, and disrupts a broader set of companies, are also a risk.

AI models continue to grow more powerful



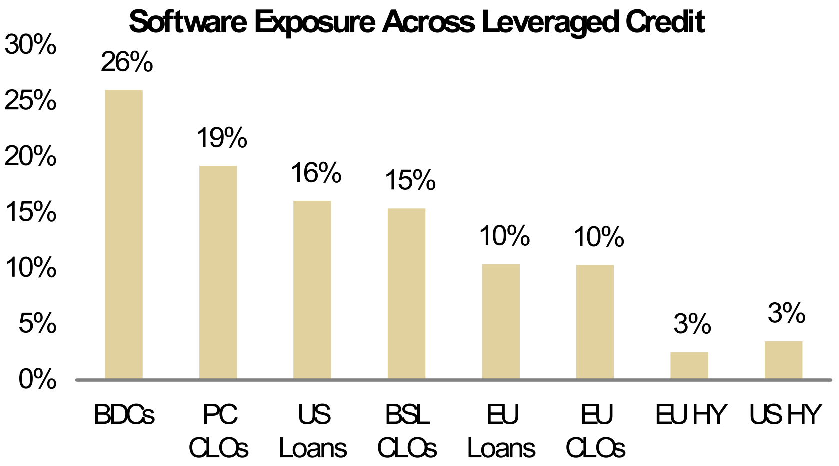
Automated AI research could accelerate algorithmic progress, leading to 5+ OOMs of effective compute gains in a year. The AI systems we'd have by the end of an intelligence explosion would be vastly smarter than humans.

Source: Morgan Stanley Research, Leopold Aschenbrenner Introduction - SITUATIONAL AWARENESS: The Decade Ahead

Software Exposure Significant in the Leveraged Credit Market

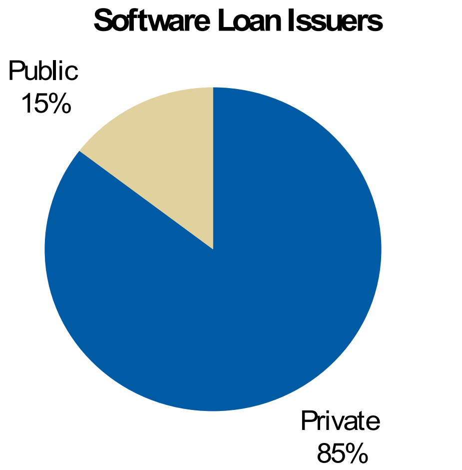
- Highest in BDCs, followed by PC CLOs, Lev Loans, BSL CLOs. Less exposure (<5%) in IG/HY.
- Vast majority of companies are private/financial sponsor backed.

Software concentration by asset class



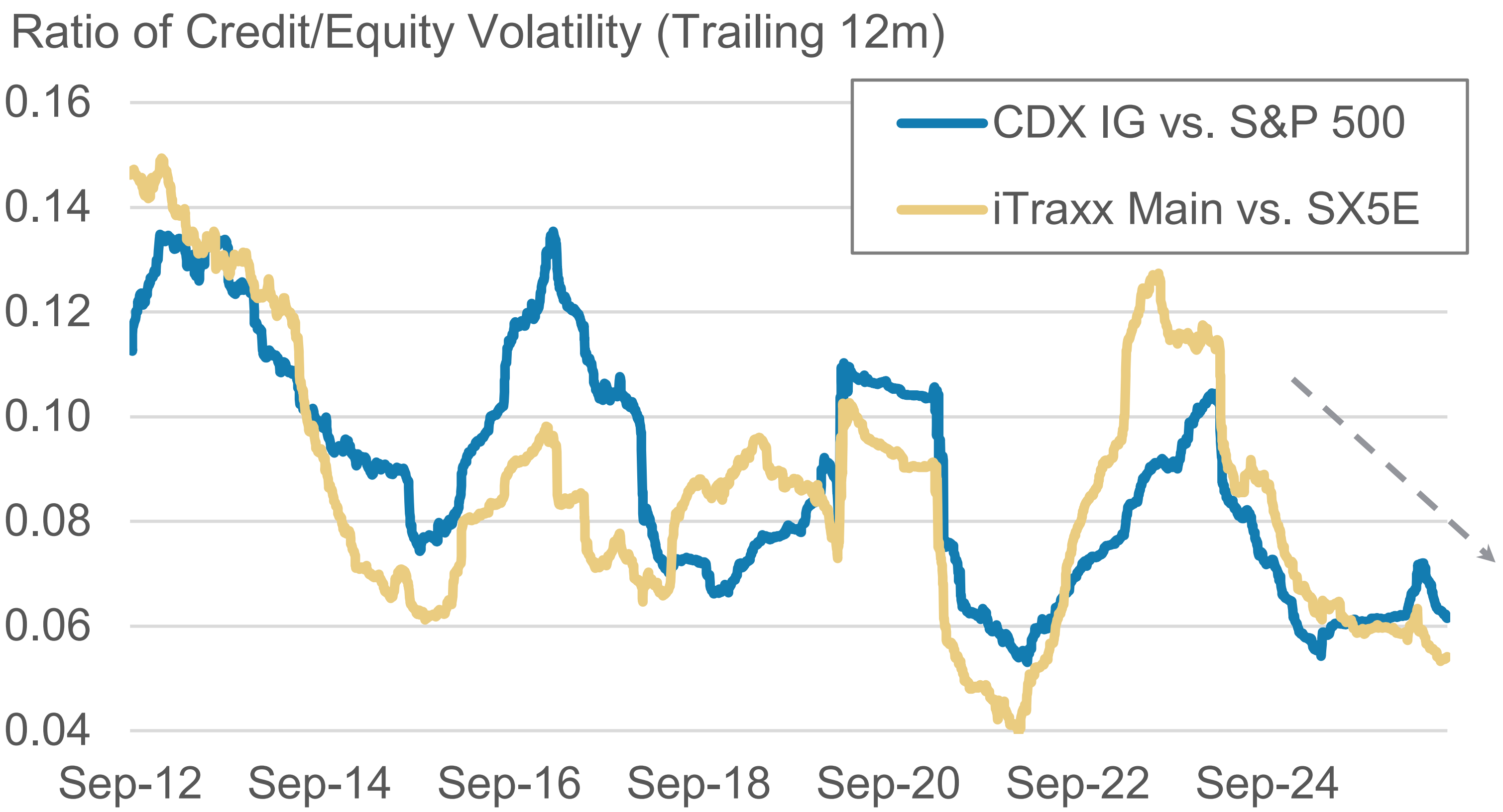
Source: PitchBook | LCD, Morningstar, S&P Global, ICE BofA, Morgan Stanley Research

Software skewed to private issuers



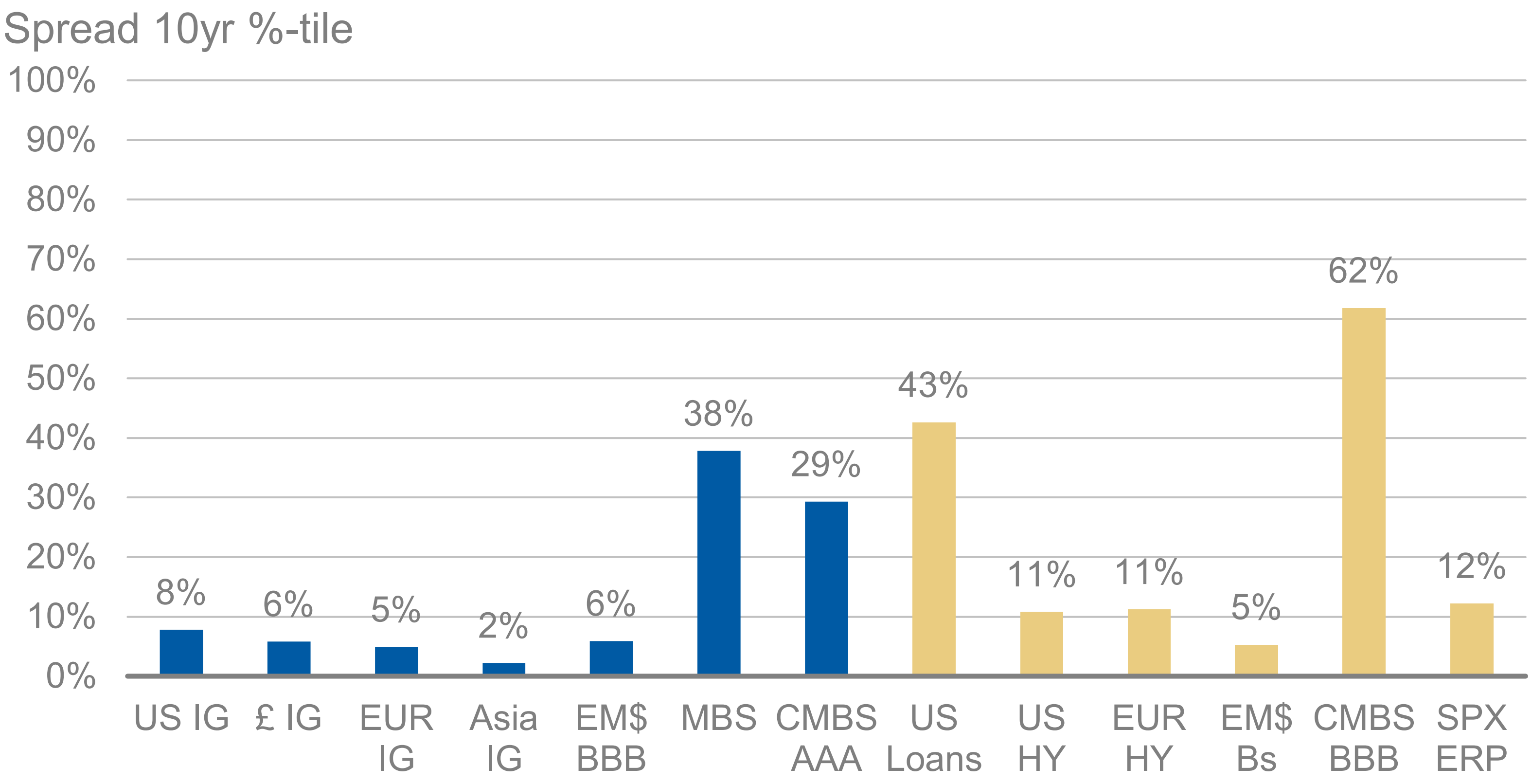
Source: Bloomberg, FactSet, S&P Capital IQ, Morgan Stanley Research

Credit Vol: The Dog that Isn't Barking



Source: Morgan Stanley Research, Bloomberg

Within Credit, Value in Securitized

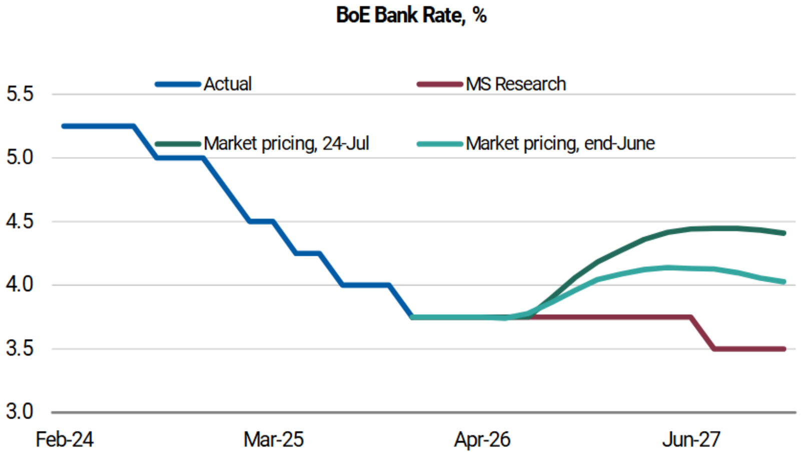


Source: Morgan Stanley Research

Multiple Drivers of Steeper Curves

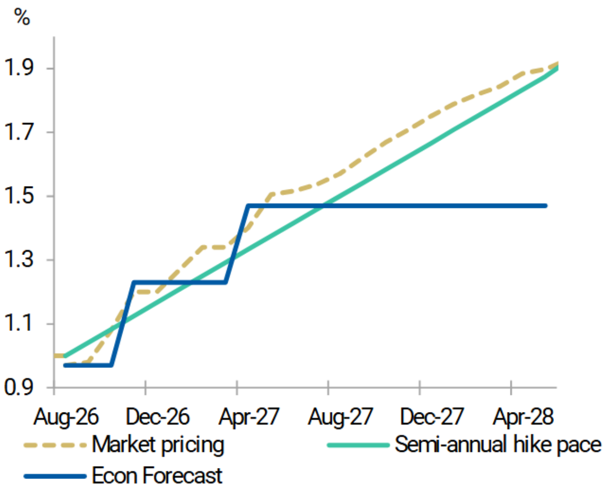
- Poor fiscal trajectories across the G7
- Regulation supporting more short-end investment by banks, less long-end investment by pensions.
- We see fewer hikes than the market for the Fed, BoE, ECB and BoJ.

BoE: Market Implied vs. MS Forecast



Source: Morgan Stanley Research, Bloomberg

BoJ: Market Implied vs. MS Forecast



Source: Morgan Stanley Research, Bloomberg

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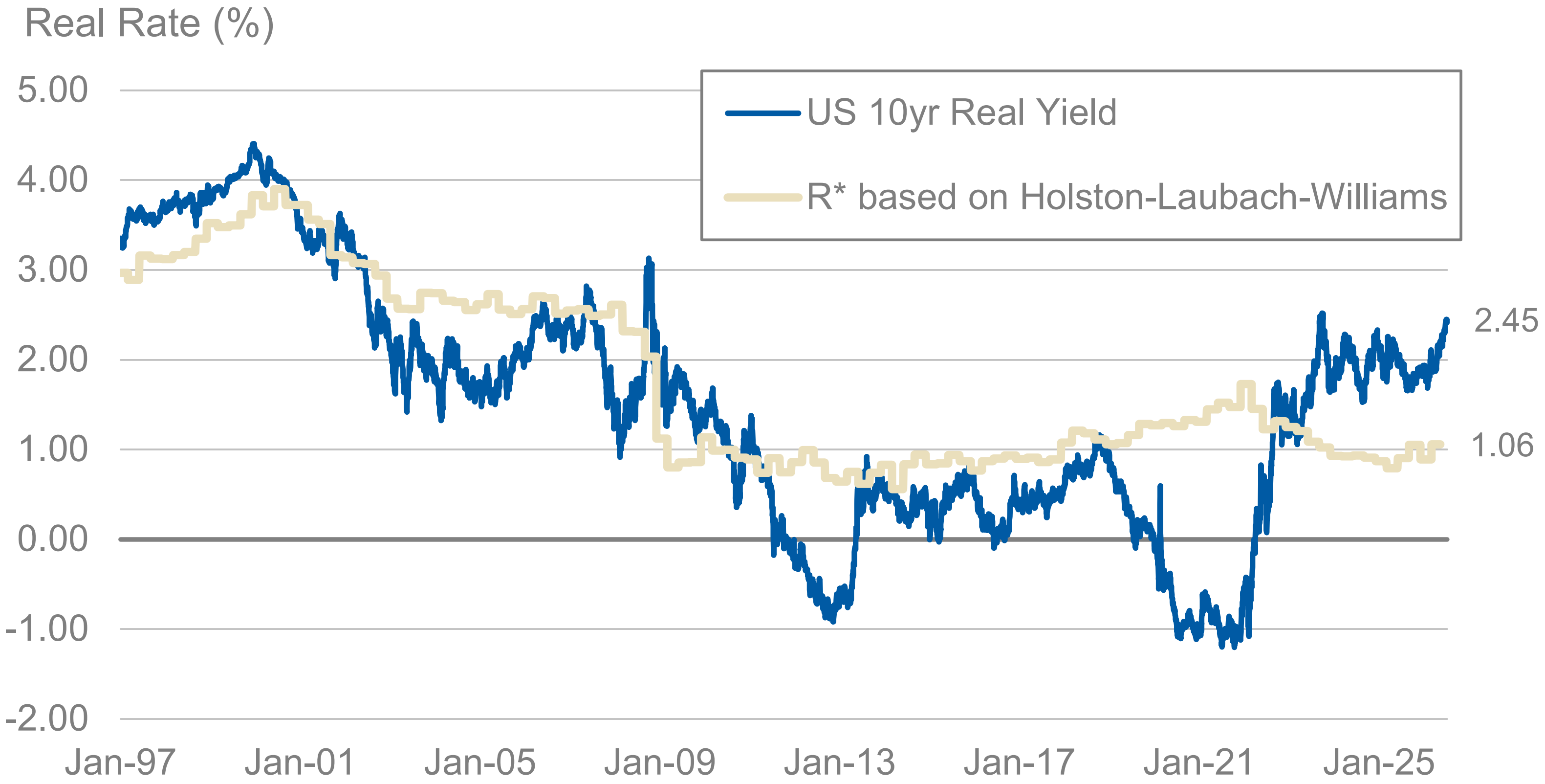
Value in Real Yields



Source: Morgan Stanley Research

FX: DXY Skewed Lower. CHF for Defense, AUD & SEK for Beta

- We are neutral on the DXY with a bearish skew as we think inflation risks are overpriced, but August 12th CPI data are needed to spark the next leg lower. We are bullish on CHF, AUD, and SEK.

- CHF is notable as a "reliable diversifier", especially into European elections next year.

How Have Safe Haven Assets Performed During Historical Shocks? (t-100 to t=0)

Event	Date	VIX	CHF/EUR	Gold	JPY/USD	DXY Index	US 10y Govt	EU 10y Govt
		Frequency of Safe Haven Asset Gains:	80%	73%	67%	53%	67%	53%
COVID-19	16-Mar-20	83	3.3	2.5	2.6	0.3	-100	-11
Global Financial Crisis	20-Nov-08	81	6.4	-12.8	17.6	16.0	-91	-86
2025 Liberation Day Shock	08-Apr-25	52	0.9	14.0	7.6	-4.9	-30	31
US Debt Ceiling / S&P Downgrade	08-Aug-11	48	19.7	14.2	4.9	1.3	-99	-99
European Sovereign Debt Crisis	20-May-10	46	2.1	10.9	-0.5	6.4	-35	-44
Dot-com Bust	05-Aug-02	45	0.9	1.5	8.8	-8.0	-95	-63
China Growth Fears/CNY Devaluation	24-Aug-15	41	-3.6	-3.3	1.2	-1.3	-25	-8
"Volmageddon"	05-Feb-18	37	1.2	4.9	4.4	-4.5	29	26
Russia–Ukraine	07-Mar-22	36	4.5	11.7	-0.2	2.9	11	21
US–China Trade Tensions	25-Dec-18	36	0.3	5.2	0.9	1.9	-22	-16
Global Inflation/Rates shock	09-May-22	35	-1.1	0.3	-12.6	8.0	126	118
UK LDI/Gilt Selloff	11-Oct-22	34	3.0	-8.3	-6.4	7.7	86	78
Archegos	04-Mar-21	29	-2.9	-9.3	-3.8	-0.8	74	27
US Regional Bank Failures	13-Mar-23	27	0.7	9.4	4.1	-3.0	-17	34
Brexit Referendum	24-Jun-16	26	1.5	6.5	11.4	-1.2	-40	-33

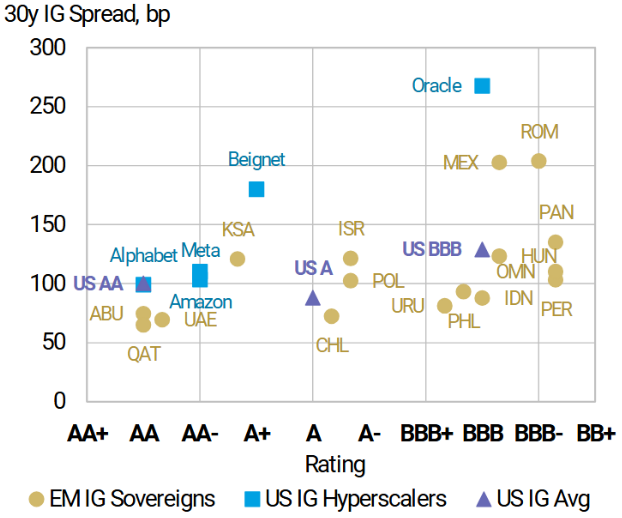
Source: Morgan Stanley Research. Currency performance in %, rate performance in bp change in yield.

EM Credit: Most Value in Lower-Rated LatAm HY and HQ CEEMEA HY

- Relative value favours Argentina versus Ecuador near term, although we still like both, Mexico versus Brazil, Guatemala versus Costa Rica, and PDVSA versus VENZ.

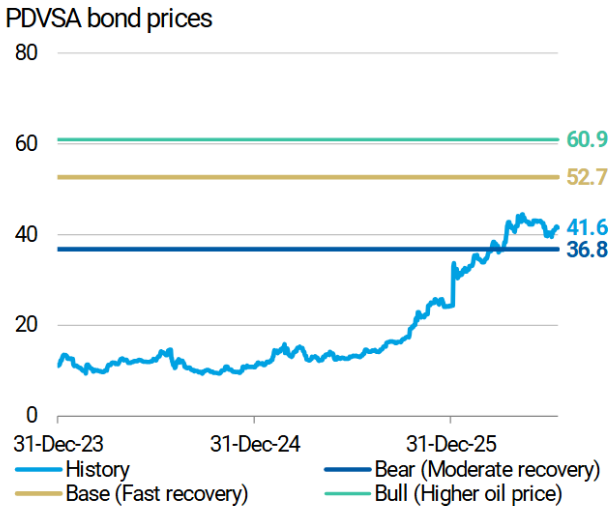
- CEEMEA, RV favours Ghana versus Zambia, and Turkey and Ivory Coast versus South Africa.

Long-EM EM IG tight vs. US Hyperscalers



Source: Morgan Stanley Research, Bloomberg. As of July 20th.

PDVSA Scenario Ranges

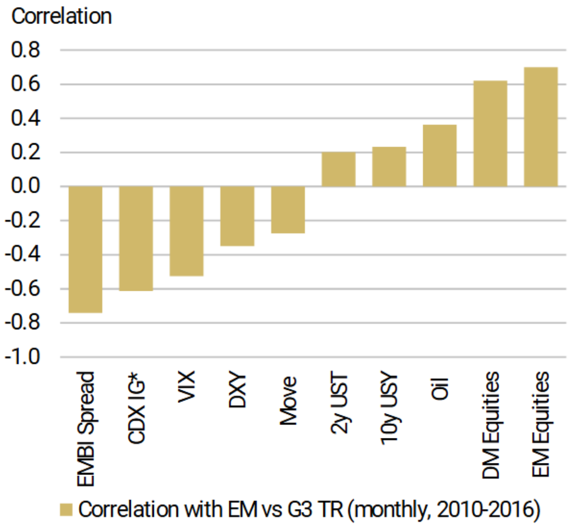


Source: Morgan Stanley Research, Bloomberg. As of July 20th.

EM Local: EM Can Ride out the USD

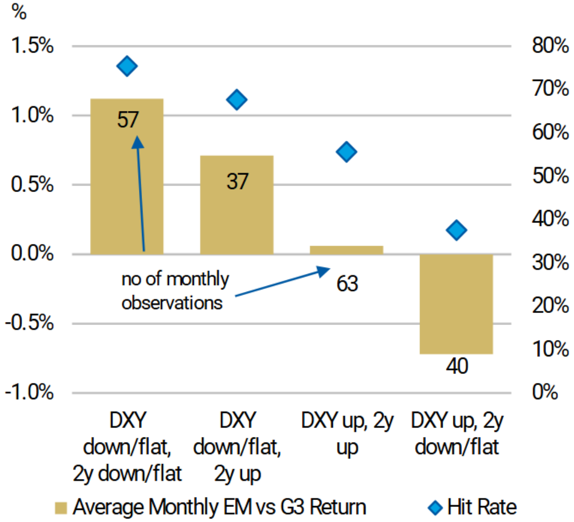
- Empirically, the key driver of EM returns has been risk appetite, not USD or front-end yields.
- Even so, the USD and 2yr backdrop we forecast is supportive. Conventional policy from EM central banks also helps.

EM vs. G3 more correlated with risk assets



Source: Morgan Stanley Research, Bloomberg.

DXY Down/Flat, US 2yr Down/Flat is Supportive



Source: Morgan Stanley Research, Bloomberg.

Our Key Forecasts to 2Q27

	As of Jul 31, 2026	Q2 2027 Forecast			Q2 2027 Return Forecast			Volatility	Base Case Return/Risk
		Bear	Base	Bull	Bear	Base	Bull		
Equities						Total Returns			
S&P 500	7,490	5,900	8,300	9,400	-20.1%	11.9%	26.6%	18%	0.65
MSCI Europe	2,582	1,820	2,810	3,080	-26.7%	11.7%	22.1%	15%	0.80
Topix	4,003	2,600	4,300	4,900	-33.1%	9.4%	24.4%	18%	0.51
MSCI EM	1,666	1,100	1,800	2,100	-31.8%	10.2%	28.2%	17%	0.61
FX						Total Returns			
JPY*	157	163	156	145	-6.9%	-2.2%	5.7%	9%	-0.24
EUR	1.15	1.00	1.16	1.30	-14.7%	-0.8%	11.3%	7%	-0.11
GBP	1.35	1.20	1.34	1.45	-11.0%	-0.6%	7.6%	9%	-0.07
AUD	0.70	0.68	0.73	0.76	-2.6%	4.5%	8.8%	10%	0.46
INR*	95.4	92.0	95.0	100.0	6.9%	3.1%	-1.7%	5%	0.65
ZAR*	16.5	15.0	16.3	18.7	13.2%	4.3%	-8.6%	15%	0.29
BRL*	5.07	4.40	4.90	5.40	23.3%	11.6%	2.0%	15%	0.77
MXN*	17.3	16.5	17.2	19.5	8.1%	3.7%	-8.0%	12%	0.30
Rates (% percent)						Total Returns			
UST 10yr	4.74	5.10	4.20	3.55	1.7%	8.9%	14.4%	7%	1.34
DBR 10yr	3.21	3.05	2.45	2.40	4.7%	9.6%	10.1%	6%	1.68
UKT 10yr	5.05	4.65	4.40	4.20	8.1%	10.2%	11.8%	7%	1.54
JGB 10yr	2.79	3.10	2.25	1.40	0.9%	7.8%	15.1%	3%	3.07
Credit (bps)						Excess Returns			
US IG	78	125	90	70	-2.0%	-0.1%	1.3%	3%	-0.02
US HY	279	425	275	230	-3.1%	1.8%	3.7%	5%	0.33
EUR IG	78	150	80	60	-2.5%	0.6%	1.5%	2%	0.36
EUR HY	273	500	300	225	-5.5%	0.8%	3.3%	4%	0.18
EM $ Sov	244	400	260	210	-7.6%	1.3%	4.4%	7%	0.18
Sec. Products (bps)						Excess Returns			
US Agency MBS	31	40	20	15	-0.3%	0.9%	1.2%	2%	0.50
US CMBS AAA	76	110	75	60	-2.7%	0.8%	2.3%	2%	0.51
US CMBS BBB-	455	750	470	390	-25.0%	2.7%	10.6%	3%	0.78
Commodities						Total Returns			
Brent	90	60	75	120	-21.4%	-1.7%	57.3%	39%	-0.04
Copper	13,836	10,670	13,000	16,248	-22.3%	-5.4%	18.2%	21%	-0.26
Gold	4,046	3,920	4,900	6,125	-6.8%	16.5%	45.7%	16%	1.03

Source: Bloomberg, Morgan Stanley Research

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	**1529**	**42%**	**442**	**47%**	**29%**	**750**	**43%**
Equal-weight/Hold	**1582**	**43%**	**396**	**42%**	**25%**	**773**	**44%**
Not-Rated/Hold	**3**	**0%**	**1**	**0%**	**33%**	**1**	**0%**
Underweight/Sell	**560**	**15%**	**97**	**10%**	**17%**	**217**	**12%**
Total	**3,674**		**936**			**1741**	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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